# Dr Reddys Laboratories Ltd (DRREDDY)

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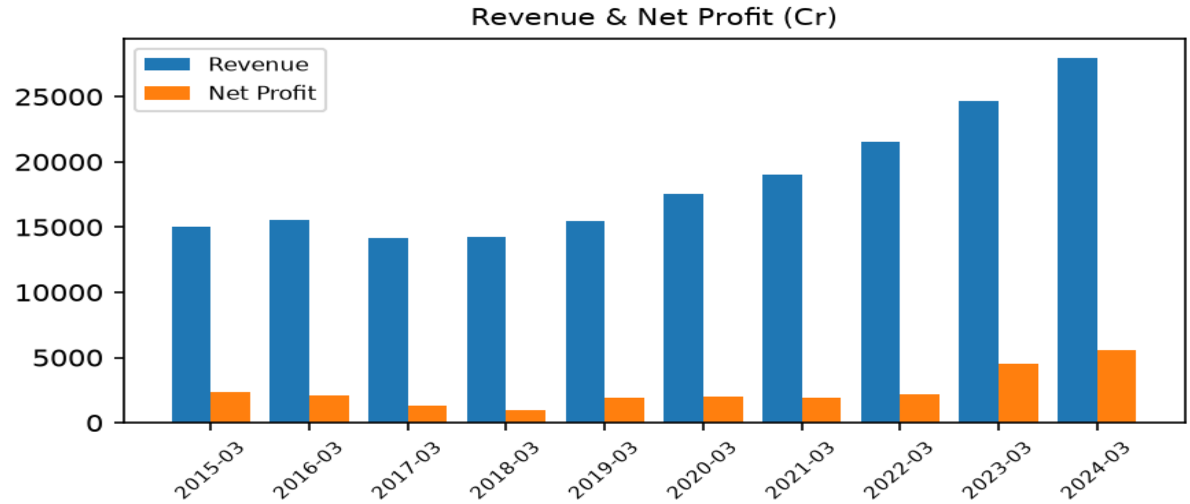
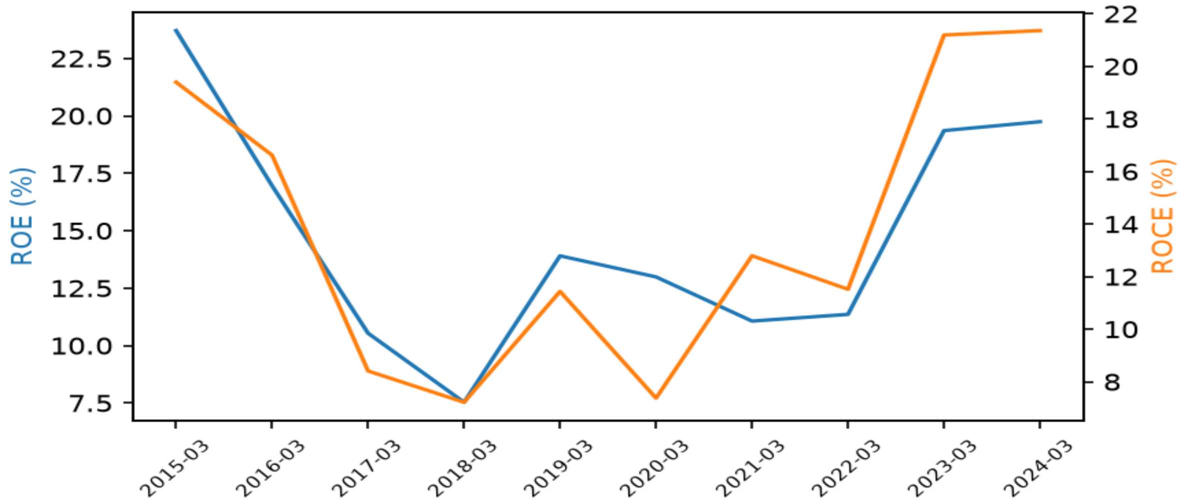
|---|---|---|
| **ROE**<br>19.7% | **ROCE**<br>21.4% | **Net Profit Margin**<br>19.9% |
| **D/E**<br>0.1 | **Revenue CAGR 5yr**<br>12.6% | **Free Cash Flow (Cr)**<br>509.0 |

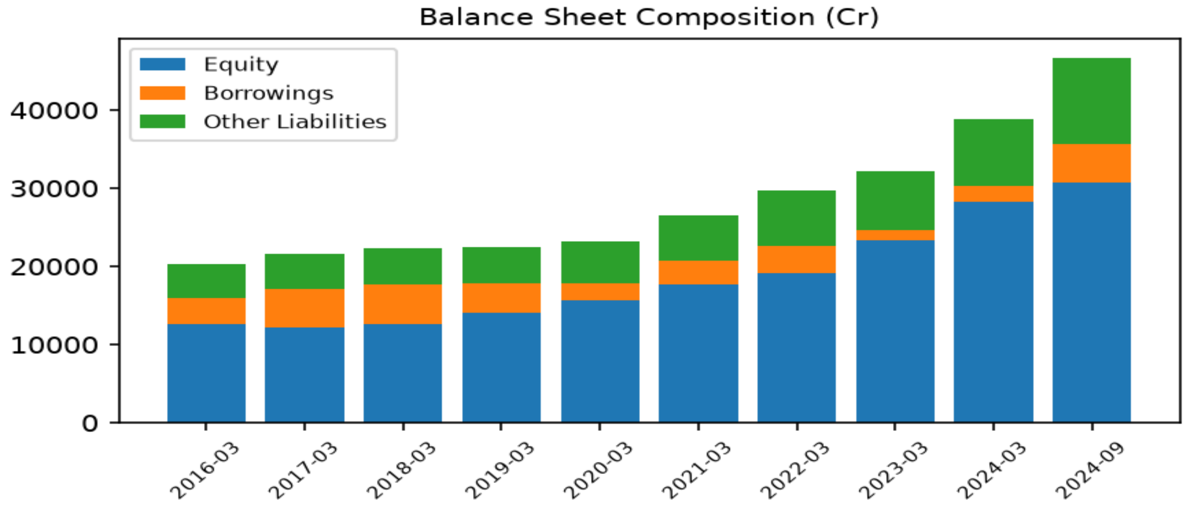
## Revenue & Net Profit (10yr)



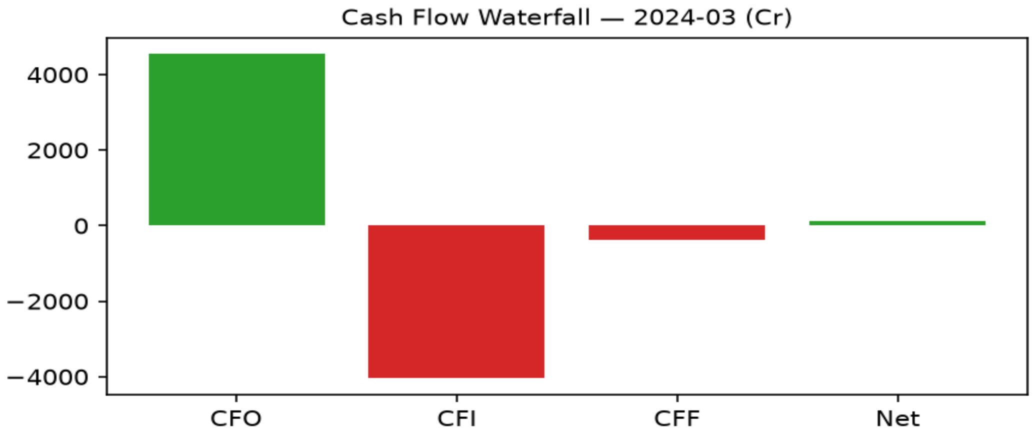

## ROE & ROCE (10yr)



## Balance Sheet Composition




## Cash Flow (Latest Year)




## Pros

✓ Strong free cash flow generation over 5 years signals healthy business fundamentals
✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
✓ Net profit compounding at above 20% over 5 years creates significant shareholder value
✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing
✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
✓ Return on equity improving for 3 consecutive years shows strengthening business quality
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

## Cons

✗ No cons identified above confidence threshold.

Capital Allocation: Reinvestor